SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (30 marks – approximately 54 minutes)

Paddlefish Limited ("Paddlefish") acquired 55% of the ordinary shares of Saiga Limited ("Saiga") on 1 October 2017. Paddlefish, together with its subsidiary, is collectively known as the Paddlefish Group (the "Group").

On 1 October 2017, Paddlefish paid HK$44,170,000 for the acquisition. Further, Paddlefish agreed to pay an extra HK$13,230,000 to the ex-shareholders of Saiga on 30 September 2019, which was two years after the acquisition date. Paddlefish determined the relevant discount rate to be 5% p.a.

At the acquisition date, Saiga had retained earnings of HK$54,000,000 with no other reserve. Paddlefish assessed that, on 1 October 2017, the fair values of Saiga's recorded net assets were equal to their carrying amounts. On 1 October 2017, Saiga owned an internally generated customer database with a fair value of HK$1,800,000. Saiga did not recognise this customer database in its statement of financial position in accordance with HKAS 38 *Intangible Assets*. This database, which was assessed to be identifiable, was believed to have a useful life of 6 years with no residual value. Paddlefish chose to measure the non-controlling interest in Saiga at their proportionate share of the fair value of Saiga's net identifiable assets at the acquisition date. Goodwill arising from this acquisition has not been impaired since the acquisition.

On 1 October 2021, Saiga sold a piece of equipment to Paddlefish at a transfer price of HK$3,600,000. Saiga purchased this equipment on 1 October 2020 at a cost of HK$4,000,000 and estimated this equipment to have a useful life of 5 years with no residual value. There was no change in the useful life and the residual value upon transfer to Paddlefish. On 31 December 2021, Saiga declared interim dividends and paid the amount in January 2022.

The relevant activities of Saiga have been directed by voting rights. The voting rights of each shareholder is in proportion to the percentage of their respective shareholding in Saiga. The companies in the Group have not issued any shares since 1 October 2017.

Selected accounting policies

- Properties, plant and equipment are measured using the cost model in accordance with HKAS 16 *Property, Plant and Equipment*.
- Intangible assets are measured using the cost model in accordance with HKAS 38.
- Non-current assets are depreciated/amortised over their respective useful lives on a straight-line basis.
- Depreciation and amortisation are recorded on a monthly basis.
- The investment in subsidiary is presented in the separate financial statements at cost.

Statements of financial position as at 30 September 2022:

	Paddlefish HK$'000	Saiga HK$'000
Assets		
Property, plant and equipment	620,000	79,480
Investments	60,000	8,200
Current assets	54,300	26,020
Total assets	734,300	113,700
Equity and Liabilities		
Share capital	89,000	44,000
Retained earnings, 1 October 2021	582,000	62,000
Add: Profit for the year	21,500	3,900
Less: Dividends declared	(7,000)	(1,800)
Retained earnings, 30 September 2022	596,500	64,100
Total equity	685,500	108,100
Current liabilities	48,800	5,600
Total equity and liabilities	734,300	113,700

Required:

(a) **Explain why Paddlefish has control over Saiga with reference to the THREE components of "control" in HKFRS 10 *Consolidated Financial Statements*.**
(5 marks)

(b) **Prepare the consolidated statement of financial position of the Group as at 30 September 2022. You should ignore taxation impacts in this part.**
(23 marks)

Note: You have to show workings including supporting calculations and/ or the consolidation adjustment journal entries.

(c) **Compute the profit attributable to the non-controlling interest in Saiga included in the consolidated statement of profit or loss and other comprehensive income of the Group for the year ended 30 September 2022.**
(2 marks)

Question 2 **(20 marks – approximately 36 minutes)**

Antelope Limited ("Antelope") has a financial year end date at 30 September. Antelope recorded a profit of HK$2,640,000 for the year ended 30 September 2022 ***before*** taking into consideration any effects arising from its property, plant and equipment items shown below. On 1 July 2022, Antelope distributed interim dividends of HK$500,000 to its two shareholders. Antelope had share capital and retained earnings of HK$2,000,000 and HK$4,840,000 as at 30 September 2021 respectively. Antelope did not issue any new shares during the year ended 30 September 2022.

Antelope has the following accounting policies in relation to its property, plant and equipment:

Properties are measured using the revaluation model and machines are measured using the cost model in accordance with HKAS 16 *Property, Plant and Equipment*. Properties, plant, and equipment are depreciated over their respective useful lives on a straight-line basis. Depreciation is recorded on a monthly basis.

It is the company's accounting policy to eliminate the accumulated depreciation against the gross carrying amount of the property at the date of revaluation and to transfer any of the revaluation surplus to retained earnings as the property is used by the entity.

Antelope has the following two classes of property, plant and equipment:

Building

Antelope purchased a property in Shatin ("Property Z") on 1 October 2019 at a cost of HK$12,000,000 and classified Property Z as an owner-occupied property. It was estimated that Property Z would have a useful life of 40 years with a residual value of HK$8,000,000. Two years after the purchase, on 30 September 2021, Antelope performed a valuation on Property Z and concluded that Property Z had a fair value of HK$12,560,000. Property Z is the only property owned by Antelope.

Machinery

Antelope purchased Machine X on 1 October 2017 at a cost of HK$8,400,000. It was estimated that Machine X would have a useful life of 7 years with no residual value. Antelope sold Machine X to Barboon Limited, an unrelated party, on 1 April 2022 with a consideration of HK$2,800,000.

Antelope purchased Machine Y on 1 October 2021 at a cost of HK$3,600,000. It was estimated that Machine Y would have a useful life of 4 years with no residual value.

Required:

(a) **Explain, with the illustration of journal entries, the accounting treatments in relation to Property Z during the years ended 30 September 2021 and 30 September 2022. Narratives are not required for the journal entries.**

(7 marks)

(b) **Calculate the depreciation expense of Machine X and Machine Y during the year ended 30 September 2022. Further, calculate the gain or loss arising from the disposal of Machine X on 1 April 2022.**

(2 marks)

(c) **Based on the information presented, and taking into account any adjustments made in Questions 2(a) and 2(b), prepare the statement of changes in equity of Antelope for the year ended 30 September 2022. No comparative figure is required.**

(7 marks)

(d) **With reference to the information presented, outline FOUR disclosure requirements for each of the TWO classes of property, plant and equipment of Antelope in accordance with HKAS 16. You are NOT required to draft the disclosure note.**

(4 marks)

<u>Question 3</u>   (20 marks – approximately 36 minutes)

Caterpillar Limited ("Caterpillar") manufactures luxurious garments and has a financial year end date at 30 September. Caterpillar has manufactured both menswear and womenswear since its establishment.

In July 2022, Caterpillar redefined its strategic direction and decided to focus only on womenswear in the coming financial year. On 27 September 2022, a termination plan of the menswear division was derived and approved by the Board of Directors of Caterpillar. The plan included an estimate of HK$1,020,000 as redundancy payments to the designers of the menswear division. Redundancy notices were sent to the relevant staff members on 7 October 2022, and the menswear division was eventually terminated on 2 November 2022.

To prepare for the expansion of its womenswear market, Caterpillar started constructing a specialised machine for improving its manufacturing process of womenswear ("Machine W"), which leverages advanced technology. Caterpillar secured a loan of HK$4,000,000, on 1 July 2022, to finance specifically for the construction of Machine W (the "Loan"). Machine W met the definition of a qualifying asset in HKAS 23 Borrowing Costs. The Loan carried an interest rate of 5% p.a. and was fully drawn down on 1 July 2022. The construction of Machine W commenced on 1 July 2022, and Caterpillar incurred costs on such construction on the same date. As the construction was at its initial stage, surplus funds from the Loan were invested in money market instruments and Caterpillar earned an interest income of HK$24,000 from 1 July 2022 to 30 September 2022.

<u>Required:</u>

(a) **Define "liability" in accordance with the *Conceptual Framework for Financial Reporting* and "provision" in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.**

(4 marks)

(b) **Describe the recognition criteria of a provision for restructuring costs in HKAS 37 and explain whether Caterpillar should recognise a provision for restructuring costs arising from the termination of the menswear division in its statement of financial position as at 30 September 2022.**

(6 marks)

(c) **Define "qualifying asset" and describe the recognition criteria of borrowing costs in accordance with HKAS 23.**

(4 marks)

(d) **Describe, based on the information presented, how the borrowing costs of the Loan should be recognised in the financial statements of Caterpillar for the year ended 30 September 2022. You are required to illustrate with calculations in your answers; however, journal entries are not necessary.**

(6 marks)

Question 4 **(10 marks – approximately 18 minutes)**

Dingo Limited ("Dingo") rents out various computer equipment to customers. In September 2022, Dingo purchased a number of equipment items, Model XXI, from a manufacturer at a cost of HK$840,000 each. The fair value of each Model XXI is HK$900,000. Dingo estimated that each Model XXI has an economic life of 6 years with no residual value.

On 1 October 2022, Dingo entered into an agreement with Eagle Limited ("Eagle") to rent a single Model XXI to be used in Eagle's office premises. The agreement qualifies as a lease in accordance with HKFRS 16 *Leases*. Based on the agreement, the lease term is 5 years and the rent per year is HK$198,000, payable on 30 September at the end of each year. The unguaranteed residual value of Model XXI as at 30 September 2027 is estimated to be HK$180,068. The interest rate implicit in the lease is determined to be 8.5% p.a. Dingo has a financial year end date at 30 September.

Required:

(a) **Explain, based on the information presented, why the lease arising from the agreement signed with Eagle should be classified as a finance lease in the financial statements of Dingo. You should support your justifications with necessary calculations.**

(5 marks)

(b) **Outline, from the lessor's perspective, the general recognition requirement of an asset held under a finance lease at the commencement date. Further, compute the following items from Dingo's perspective, in relation to the lease with Eagle:**

- **the gross investment in the lease on 1 October 2022;**
- **the net investment in the lease on 1 October 2022; and**
- **the total finance income over the lease term.**

(5 marks)

* * * END OF EXAMINATION PAPER * * *